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AXYS
INVESTMENT BANK

Weekly Global Markets Note

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• Global Markets Commentary

- Global equities closed mixed; the US closed lower while European and Asian markets closed higher. US corporate earnings season continued last week. Intel posted better-than-expected results, with revenue growing 25.0% y/y in the second quarter to USD16.10Bn, exceeding Wall Street estimates on the back of surging demand for chips critical to AI data centres. Additionally, the chipmaker said it would raise its capex plans to USD20.00Bn from USD18.00Bn. Despite the earnings beat, the share price plunged 2.3% on Thursday and 7.9% on Friday, as investors continued to worry about the company's higher capex and its ability to translate this into higher profits. This has been the biggest drag on AI-related names in recent weeks, which have pulled back sharply from record highs.
- Still on earnings, Google also beat expectations, reporting revenue of USD119.8bn and earnings per share of USD9.11, both ahead of Wall Street estimates. Topline growth was supported by 82.0% y/y growth in cloud revenue to USD24.77bn, while advertising revenue came in at USD81.63bn, with both beating consensus analyst estimates. Additionally, the company raised its capex guidance to a range of USD195.0bn–USD205.0bn, from USD180.0bn–USD190.0bn, as it looks to increase spending on data centres and AI hardware. The company also noted that free cash flow for the period came in at negative USD5.90bn. The share price plunged 6.9% following the earnings release.
- Global bond yields remained elevated in tandem with energy prices. Brent reached USD100.00 per barrel on Thursday before retreating to close the week at USD91.68. The US 30-year bond yield traded at its highest level since 2007, as investors continued to demand higher compensation for long-duration holding while also pricing in higher inflation. The market is now pricing in an 82.0% probability of a rate hike at September's FOMC meeting.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,412	7,458	▼ (0.6%)
Nasdaq 100	28,128	28,593	▼ (1.6%)
Dow Jones	51,947	52,146	▼ (0.4%)
FTSE 100 (FTSE)	10,736	10,600	▲ 1.3%
DAX	25,099	24,831	▲ 1.1%
Nikkei 225	64,611	64,141	▲ 0.7%
Shanghai Composite	3,814	3,764	▲ 1.3%
Median			**▲ 0.7%**

Source: Investing.com AXYS Investment Bank Research

- The US equities market closed the week on a bearish note. The S&P 500, Nasdaq and Dow declined 0.6%, 1.6% and 0.4%, respectively, on a weekly basis. Macro concerns (*i.e., higher inflation expectations and an increased possibility of a rate hike*) and a sell-off in AI-related names dragged down US equities.
- On the other hand, European markets ended the week on a bullish note. The FTSE 100 extended its winning streak for another week, gaining 1.3%, including a 0.9% gain on Friday, as most sectors recorded gains buoyed by encouraging macro data; *UK retail sales rose 1.0%, beating estimates of a 0.3% decline*. Germany's DAX rose 1.1% w/w, erasing the previous week's losses. Additionally, the Nikkei 225 and China's Shanghai Composite Index advanced 0.7% and 1.3%, respectively.

• Fixed Income:

Bond	Current	Previous	w/w chang
US 10 Yr Bond	4.69%	4.55%	▲ 13.7bps
UK 10 Yr Gilt	5.03%	4.97%	▲ 6.6bps
Germany 10 Yr Bund	3.20%	3.15%	▲ 5.3bps
Japan 10 Year Bond	2.82%	2.71%	▲ 10.4bps

Source: Investing.com AXYS Investment Bank Research

- Higher inflationary risk in the US sent the 10-year yield to 4.69%, a 13.7bps weekly rise. Notably, the 30-year US bond continued to trade above 5.0%, its highest level since 2007. The market is pricing in the possibility of a near-term Fed hike as soon as September. Energy prices remained relatively elevated during the week, triggering inflation risk. Brent briefly breached USD100.00 per barrel during the week.
- In Europe, the European Central Bank left rates unchanged at 2.25%, but there was enough evidence to suggest the possibility of tightening later in the year. Yields on the UK 10-year bond rose 6.6bps to settle at 5.03%, as energy prices rose sharply on Thursday. Encouraging retail sales data eased yields lower on Friday; UK retail sales rose 1.0% in June, beating expectations for a 0.3% decline. On the other hand, Germany's 10-year bond rose to 3.20%, a 5.3bps w/w jump, on account of higher energy prices.
- Notably, increased expectations for a rate hike by the Bank of Japan left Japan's 10-year bond 10.4bps higher during the week, settling at 2.82%.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.6981	0.6983	▼ (3bps)
USD/JPY	163.850	162.390	▲ 90bps
GBP/USD	1.332	1.346	▼ (97bps)
EUR/USD	1.137	1.144	▼ (62bps)
US Dollar Index	101.30	100.59	▲ 71bps

Source: Investing.com AXYS Investment Bank Research

- The US dollar was stronger against major currencies. The US Dollar Index (DXY) edged up 71bps to close the week at 101.30. Fears of a re-escalation in the US-Iran conflict, along with expectations of higher energy prices, favoured the dollar, especially against oil-importing countries. Notably, the Japanese Yen traded at a four-decade low during the week, as investors priced in higher inflation in Japan; the country being a net importer of energy ,alongside reports that the BoJ may tighten rates faster than expected. Additionally, the US dollar gained against the Euro, Pound and Australian Dollar by 62bps, 97bps and 3bps, respectively.

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